

Olevel economics

Chp:- Demand and Supply

Topic:- Price Elasticity of demand



Zarak
Mushtaq

Price Elasticity of demand (PED)



measures
responsiveness

Price and Quantity demand
Negative Relationship
Downward



$$PED : \frac{\% \Delta \text{ in Quantity demand}}{\% \Delta \text{ in price}}$$

(Always write in full form, e.g.)
 Δ :- change

Zaidg zor
se

same
force se

Rajnikanth

$>1, <1, =1, 0, \infty$

Kum zor
se

Ramadam

* Formula:- $\frac{\text{Dependent}}{\text{Independent}}$

Δ :- change

Note:- Price elasticity of demand measures the responsiveness to the percentage change in quantity demand to the percentage change in price.

PED:- percentage change in quantity demand
percentage change in price

$$PED > 1$$

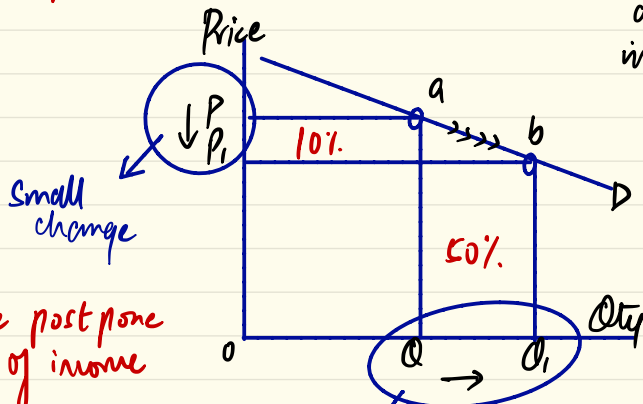
- Greater than 1
- High responsiveness

- More substitutes
- More options
- Brands
- Competition
- Luxury
- Want
- Consumption can be postponed
- Higher proportion of income

Prices $\downarrow$ $QD \uparrow$

Prices $\uparrow$ $QD \downarrow$

Elastic demand

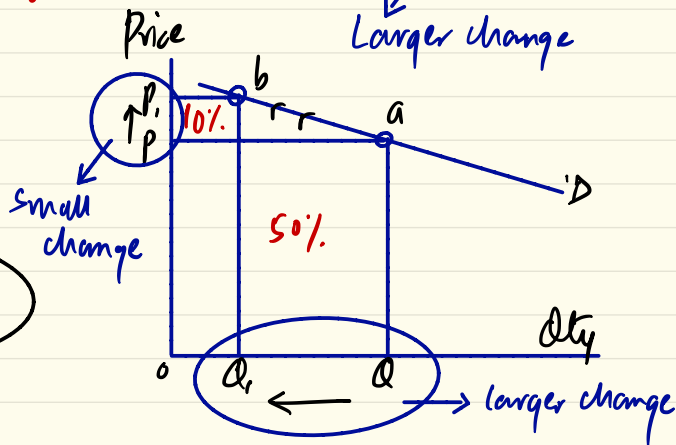


Note:- Elastic demand, a small change in price brings a larger percentage change in quantity demanded.

For e.g. a fall in price by 10% will extend the quantity demanded by more than 10%, by 50%.

$$PED:- \frac{50\%}{10\%} = 5 (>1)$$

↓
Elastic demand



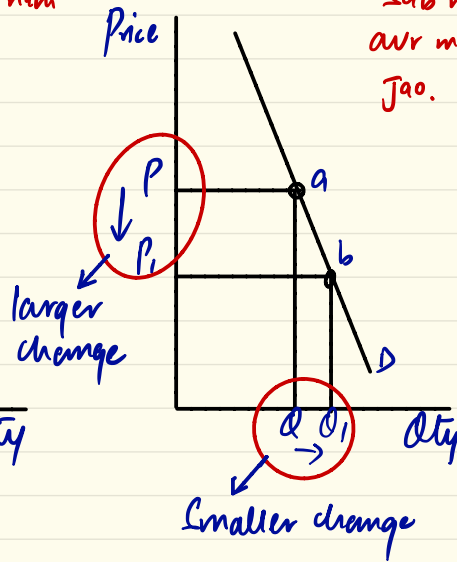
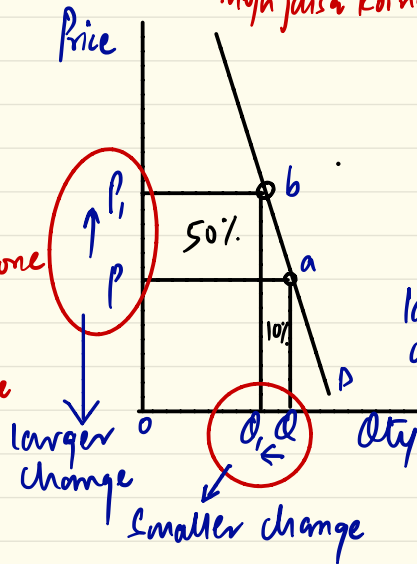
$$PED < 1$$

- Less than 1
- low responsiveness

★ Difference between no substitutes and no close substitutes

↑ mere ilawa koi nahi
↓ sab mai jaye aur mein bach jao.

myh jaisa koi nahi



- Less substitutes
- no close substitutes
- less competition
- necessity
- habitual
- Consumption can't be postpone
- Brand loyal
- Addictive
- Smaller proportion of income

Price $\uparrow$ $QD \downarrow$
Price $\downarrow$ $QD \uparrow$

Inelastic demand

Note:- A larger change in price brings a smaller percentage change in quantity demanded. For e.g. a rise in price by 50% contracts quantity by less than 50%, by 10%.

Determinants / factors / influences of PED :-

The availability of substitutes of a similar quality and price :- If a product has close substitutes, the price elasticity of demand will be relatively elastic. In this case, a rise in price will be likely to cause significant fall in quantity demanded as consumers will switch to the substitute. However, if there are no close substitute available, demand will be inelastic. The quantity demanded will not fall much in response to rise in price because there is no suitable alternative to switch over to.

People also find it difficult to cut back on their purchases of products which are addictive, such as cigarettes and coffee. This means such products have inelastic demand. If the purchase of a product can be delayed, demand tends to be elastic. A rise in price will result in a greater percentage fall in quantity demanded as people will postpone the purchase of the product, hoping that its price will drop in the future. If it does, the quantity demanded will rise by a greater percentage, with the build-up sales.

Proportion of income spent on the product → High proportion :- Elastic
Whether the product is a necessity or a luxury → Necessity :- Inelastic
Whether the product is addictive or not → Addictive :- Inelastic
Whether its purchase can be postponed → Can be postponed :- Elastic
The width of the definition of the market → Broader :- Inelastic
The time period → Short run (Inelastic), long run (Elastic)

Questions (H.W #4)

Marks:- 12

Q1 Define PED? 2 (always write its formula)

$$PED = \frac{\% \Delta \text{in } QD}{\% \Delta \text{ in price}}$$

Q2 Define Elastic demand? 2

[Give e.g. too]

Q3 Define Inelastic demand? 2

Q4 Explain how a product can be elastic to one individual but inelastic to other? 6

↳ factors/influence/determinants

↳ Explain 3 factors, take example

↳ Copy paste two paragraphs

↳ Create one paragraph

↳ Draw 2 diagrams